

the asset management industry may partly give rise to the risk anomaly in the first place.

Will the risk anomaly persist? I am hoping that it goes away as soon as possible, and I have a large academic stake in this debate. As much as I enjoy seeing new explanations being proposed (including some of my own), the risk anomaly is an enigma. If it does disappear, then the low-risk trades already put on by the smart money will pay off handsomely—low-volatility or low-beta stocks have returns that are too high and prices that are too low. Capital should be drawn to these stocks, driving up their prices and removing the anomalous returns. If that happened, current low-risk anomaly investors would enjoy large capital gains.

But I doubt this will happen. Low-volatility strategies are far from predominant, as most institutional investors appear to be underweight low-risk stocks. More fundamentally, the fact that we see the risk anomaly in many markets—U.S. and international, stocks, bonds, commodities, foreign exchange, and derivatives—suggests that the effect is pervasive and requires a deep explanation. As Greenwood says, the low-risk anomaly is the mother of all inefficiencies.